To	Executive sponsor, NDFI lending (head of the business or its senior credit officer)
From	Vedant Tigade (prototype author; written from public information as a mock proposal)
Date	18 September 2026
Subject	Approve a 90-day shadow pilot of Borrower Truth on one NDFI sub-portfolio

Catch borrower fraud in Wells Fargo's largest loan category months before a quarterly audit, using tools the bank already backs.

> **Decision requested:** a read-only pilot on 20–40 auto-finance warehouse borrowers. About 19 FTE-months (~$0.5–1.0M planning range). No automated actions, no customer-facing change. Go / no-go returns to committee in 90 days.

WHY NOW

- Loans to non-bank financial firms are Wells Fargo's largest commercial category: **$208.8B, 20% of all loans** (10-Q, June 2026). Q1 2026 charge-offs rose "driven by a single fraud-related loss" (10-Q).
- The 2025–26 frauds in this market (Tricolor, First Brands; DOJ and SEC allegations) each used several tricks at once, hidden in different places. Publicly described controls (field exams, collateral checks) each look in one place, often a sample at a time. After Q1, management said teams reviewed clients' procedures and collateral (earnings call); this makes that review monthly and automatic.

WHAT IT IS

Seven checks, one per documented trick, joined into one case per borrower: what's wrong, the evidence chain, a suggested fix and a drafted letter. **An officer approves every step.** Verdicts come from written rules, not a model; every decision can be replayed. It uses Setpoint PledgeCheck results rather than replacing them. Its models are open-weight and can run inside the bank, so borrower data need not leave it.

EVIDENCE SO FAR (PROTOTYPE)

TEST	RESULT
Fresh synthetic books, scored once (600 borrowers, 250 planted frauds)	**248 of 250 caught** vs 38% for a quarterly sample audit; **0 of 350** honest borrowers flagged; a median 90 days earlier
Real public data: 2.2M SEC loan records, 28 pools, 22 lenders	The five loan-tape checks tested on every pool: **0 of 28 honest pools flagged**. The other checks can't be tested on public data yet
Workload	29 of every 100 honest borrowers sent to "worth a look"; the top tenth of the queue was 60 of 60 real frauds

The frauds are planted, so these prove coverage of documented tricks, not a real-world catch rate. **The pilot measures the real one.**

MONEY

Break-even, not a forecast: moving the response to **one ~$8M exposure** three months earlier pays for the pilot, at 3% monthly erosion. Other rates and lead times are in the business case, and the bank's own loss data replaces these inputs.

RISK AND CONTROLS

- **Model risk:** likely in scope as a model. Register and tier it, and validate it independently before production. The LLM never decides.
- **BSA/AML:** likely-fraud cases route to the financial-crimes unit for a SAR decision. Compliance and Legal approve the letter templates, so no letter tips off a borrower.
- **InfoSec and third parties:** runs inside the bank, with bank SSO and encryption at rest (to build). Lien and court data vendors go through third-party review.

NEXT STEPS IF APPROVED

Weeks 0–4: data access, model-risk tiering, InfoSec review. Weeks 5–16: shadow pilot with weekly officer review. Week 17: go / no-go paper, with success and kill criteria agreed up front.

Prototype on synthetic data, prepared from public sources; not affiliated with Wells Fargo. Fraud facts are allegations from DOJ and SEC documents. Details: business case, control matrix, pilot plan and committee Q&A (proposal pack); live demo at borrower-truth.vercel.app.